

The reference and conduct of the inquiry

1. On 4 January 2002 the Department of Trade and Industry sent the CC the following reference:

Whereas it appears to the Secretary of State that it is or may be the fact that a merger situation qualifying for investigation, as defined in section 64(8) of the Fair Trading Act 1973 ('the Act'), has been created in that:

- (a) enterprises carried on by or under the control of LINPAC Group Limited (a body corporate incorporated in the United Kingdom) have ceased to be distinct from enterprises carried on by or under the control of McKechnie plc;
- (b) as a result, the condition specified in section 64(2) of the Act prevails, or does so to a greater extent, with respect to the supply in the United Kingdom of returnable transit products ('RTPs'); and
- (c) the enterprises referred to in paragraph (a) have ceased to be distinct either within the four months preceding the date of this reference or in the circumstances falling within section 64(4)(b) of the Act, as the case may be.

Now, therefore, the Secretary of State, in exercise of her powers under sections 64 and 69(2) of the Act, hereby refers to the Competition Commission ('the Commission'), for investigation and report within a period ending on 10 April 2002, the following questions:

- (i) whether a merger situation qualifying for investigation has been created as a result of the matter described in paragraph (a) above; and
- (ii) if so, whether the creation of that situation operates, or may be expected to operate, against the public interest.

In relation to the questions in paragraphs (i) and (ii) above the Commission shall exclude from consideration one of paragraphs (a) and (b) of section 64(1) of the Act if they find the other satisfied.

4 January 2002

*(signed) JANE SWIFT
An official of the Department
of Trade and Industry*

2. The composition of the Group of members responsible for the present investigation and report is indicated in the list of members in the preface.
3. Notices inviting interested parties to submit evidence to the CC were placed in The Grocer and Packaging Magazine.
4. In addition, we sought evidence from manufacturers of RTPs in the UK and mainland Europe; from customers of Linpac and Paxton; and from service providers and trade unions. Written evidence was received from a number of these parties and we held hearings or meetings with four of them.
5. We received written submissions from Linpac, and the company attended a hearing.
6. In February 2002 we sent Issues and Remedies Letters to Linpac, and published a Statement of Issues and a Statement of Remedies.
7. Members of the Group, accompanied by staff, visited operations of Linpac at Birmingham and Paxton's plant at Walsall. A visit was also made to the Mailbox plant at Stalybridge. The Group engaged the consultants Retail Planning Innovations to advise on various aspects of the RTP industry.
8. We should like to thank all those who assisted in our inquiry, particularly Linpac.